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CASE #	CASE NAME	HEARING NAME
CVPS2406424	PATH AUTOMOTIVE, LLC VS KAPA PSD, LLC	HEARING ON MOTION FOR SUMMARY JUDGMENT ON COMPLAINT OF PATH AUTOMOTIVE, LLC BY PATH AUTOMOTIVE, LLC, BLTPS INVESTMENTS, LLC

Tentative Ruling:

This is an assignment of lease dispute. On November 1, 2012, predecessors in interest to Plaintiffs PATH Automotive, LLC ("PATH") & BLTPS Investments, LLC ("BLTPS") (collectively "Plaintiffs") and Defendant KAPA PSD, LLC ("KAPA") entered into a lease agreement ("Lease") for commercial property located at 67909 E. Palm Canyon Drive, Cathedral City ("property"). KAPA is the owner of the Property and a Volkswagen automobile dealership exists thereon the Property. In May 2024, PATH entered into an agreement with BLTPS to purchase all BLTPS's assets and BLTPS agreed to assign its lease of the Property. PATH provided a letter from Volkswagen regarding its good dealer status, financial statements, ownership documents, the agreement between PATH and BLTPS and authorized KAPA to perform a credit check. However, KAPA unreasonably withheld its consent to the assignment, refused rent and issued defective eviction notices.

On October 4, 2024, Plaintiffs filed their Complaint alleging two causes of action: 1) breach of contract; and 2) declaratory relief.

On February 7, 2025, KAPA filed a Cross-Complaint against Plaintiffs, and Bruce Titus, who formed BLTPS, and his wife Linda Mares Titus (collectively "Titus"), alleging three (3) causes of action: 1) breach of contract; 2) demand on guaranty; and 3) ejectment. KAPA alleges that BLTPS breached the lease by purporting to assign it to PATH without its consent, which Titus personally guaranteed. KAPA alleges it owns the property and PATH is wrongfully remaining in possession.

Plaintiffs now move for summary judgment on their Complaint in their favor and against KAPA. (C.C.P., § 437c.) Plaintiffs contend that KAPA breached its Lease with BLTPS by purporting to withhold consent to their valid assignment. Section 12.1 of the Lease already provided KAPA's advance consent to an assignment upon satisfaction of its conditions, which they satisfied. Even if consent was required, Plaintiffs argue that KAPA wrongfully withheld consent to assign the lease after PATH purchased substantially all of BLTPS's assets. Plaintiffs also seek summary adjudication of each cause of action and KAPA's Cross-Complaint. Titus also argues they are entitled to summary adjudication of KAPA's second cause of action for Demand on Guaranty (i.e. KAPA's breach of guaranty claim) because the undisputed facts establish that BLTPS's assignment of the lease to PATH is not a material breach of the terms of the lease and Titus have not materially breached any of their obligations under the terms of the Guaranty of Lease. the 2nd cause of action for declaratory relief in the Complaint on the ground KAPA consented to the assignment. and Titus additionally move for an Order granting summary adjudication on the Complaint and , as follows: . Moreover, Plaintiffs maintain that KAPA's actions resulted in unnecessary default notices that are baseless.

KAPA opposes and argues that there are genuine triable issues regarding whether Plaintiffs satisfied necessary conditions before filing suit and whether KAPA's consent for the lease assignment was legitimately required. KAPA argues that procedural requirements, including a mandatory 30-day cure period, were not followed, and contends that the assignment may actually be a sublease requiring their consent, which was not unreasonably withheld.

In their reply, Plaintiffs assert that KAPA's opposition does not create any material issues of fact because it fails to dispute critical facts, such as their compliance with lease terms and continued rent payments. They emphasize that KAPA's allegations about needing further financial disclosures do not qualify as reasonable bases for withholding consent. Ultimately, they argue, KAPA's refusal constitutes a breach of the lease.

Request for Judicial Notice (RJN)

Plaintiffs request the Court take judicial notice of the following:

Item 1 (Lease Agreement between M&M Property Company, LLC and Desert Motor Car Company, LLC (dated November 1, 2012).) DENIED. The Lease is not a proper subject of judicial notice under Evidence Code § 452. (The court will consider the Lease as authenticated exhibit evidence via the Rehberger declaration; the denial of the RJN as to Item 1 has no effect on the disposition.)

Items 2, 3, and 4 (the Complaint, the KAPA unlawful detainer complaint, and the KAPA cross-complaint) GRANTED. The court may take notice of the existence and filing of these pleadings and of the fact that the allegations were made, not of the truth of the matters alleged within them. (Evid. Code § 452(d); *Sosinsky v. Grant* (1992) 6 Cal.App.4th 1548, 1564–1569.)

Evidentiary Objection(s)

KAPA's hearsay objections to the Asset Purchase Agreement and VW Dealer Agreement are OVERRULED. These are operative documents establishing Conditions 1 and 2 of § 12.1 (asset purchase and franchisor approval of PATH as franchisee). Their admission does not, however, cure the gap on Condition 3 (substitute guarantor).

Plaintiffs' parol-evidence objections to Murphy Decl. ¶¶ 3–4 (drafter's subjective intent that § 12.1 applied "only to Holzhauser"). SUSTAINED. This constitutes inadmissible parol evidence of undisclosed subjective intent. (Civ. Code, § 1639; C.C.P., § 1856). This forecloses KAPA's argument that the fourth sentence does not apply to later assignees.

Plaintiffs' blanket parol-evidence objections to the balance of the Pahlavan, Warshaw, and consent-process exhibits. OVERRULED. The evidence is admissible for non-parol purposes (i.e. course of conduct, notice, reasonableness under Paragraph 35.)

Alalouf's Vol. 2 deposition opinions construing Section 12.1. SUSTAINED. Contract construction of unambiguous language is a question of law; a lay party principal cannot supply it.

Motion for Summary Judgment

A plaintiff moving for summary judgment or summary adjudication meets its burden by "prov[ing] each element of the cause of action entitling the party to judgment on the cause of action." Only then does the burden shift to the defendant to show that a triable issue of one or more material facts exists. (C.C.P., § 437c(p)(1); *Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) A cross-defendant, in turn, meets its burden by showing that one or more elements of the cross-complainant's cause of action cannot be established or that there is a complete defense. (C.C.P., § 437c(p)(2).)

A motion for summary adjudication "shall be granted only if it completely disposes of a cause of action, an affirmative defense, a claim for damages, or an issue of duty." (C.C.P., § 437c(f)(1).) A "claim for damages" under section 437c(f)(1) refers to a claim for punitive damages as specified in Civil Code section 3294; it does not encompass a generic attack on the sufficiency of compensatory damages. (*Ibid.*) In granting or denying the motion, the court "need rule only on those objections to evidence that it deems material to its disposition." (C.C.P., § 437c(q).)

1st Cause of Action – Breach of Contract

The elements for a breach of contract claim are: (1) contract; (2) plaintiff's performance or excuse for nonperformance; (3) breach; and (4) damages. (*Wall Street Network, Ltd. v. N.Y. Times Co.* (2008) 164 Cal.App.4th 1171, 1178.)

Here, Plaintiffs have alleged BLTPS assigned the Lease to PATH and KAPA refused to accept the assignment or rent from PATH. (Comp., ¶ 35.) Plaintiffs' theory is that Section 12.1 of the Lease provides a self-executing advance consent from KAPA to the assignment from BLTPS to PATH, rendering KAPA's separate express consent unnecessary. (Comp., ¶ 37.) Section 12 addresses Assignment and Subletting and 12.1 provides as follows:

12.1 Voluntary Assignment. Tenant, with written notice to Landlord, shall have the right to assign or sublease all or a portion of the Premises to any legal entity in which Tenant owns at least a fifty percent (50%) interest without Landlord's prior consent but shall deliver written notice of such assignment or sublease to Landlord within thirty (30) days thereafter. Tenant shall not otherwise assign or encumber its interest in this Lease or the Premises or sublease all or any portion of the Premises without first obtaining Landlord's written consent, which consent shall not be unreasonably conditioned, delayed or withheld. In the event of any assignment or sublease, Tenant shall not be released of its obligations under the Lease. Notwithstanding the preceding sentences, Landlord consents to the assignment of the Lease to a purchaser of substantially all of Tenant's assets, and the release of Tenant from its obligations under the Lease and the release of Allen Holzhauser as guarantor, provided such purchaser is approved by the automotive franchisor, and the purchaser has provided a substitute guarantor of this Lease who is either the person that has been approved by the automotive franchisor as the franchisee or has been approved by the automotive franchisor as the guarantor of the franchisee. Except as provided in the first sentence of this Section 12.1, any assignment, encumbrance or sublease without Landlord's prior written consent shall be voidable and at Landlord's election shall constitute a material default of this Lease. Tenant acknowledges and agrees that, as a reasonable requirement to consenting to the subleasing or assigning of all or any interest in this Lease, Landlord may require that all other leases for any other portions of the Premises also be assigned or subleased to the same third party, or alternatively, require the execution of an amendment to the Lease to allow for the Premises, and Tenant's obligations under this Lease, to be more completely separated and clearly delineated among all tenants of the Premises. In the event of an assignment or sublease of the entirety of the Premises in accordance with this Section 12.1 to a third-party or legal entity of which tenant is not the owner of a fifty percent (50%) or more interest in such entity which assignment or sublease requires Landlord's prior written consent, Tenant shall pay Landlord fifty percent (50%) of all Base Rent paid to Tenant by the sublessee or assignee or other occupant for its use of the Premises that is in excess of the Base Rent payable by Tenant to Landlord under the terms of this Lease, after deducting reasonable and customary costs for tenant alterations, in connection with such sublease, reasonable brokerage fees, marketing costs and reasonable attorneys' fees ("Transfer Premium"). The Transfer Premium described in this Subsection shall exclude any bona fide amounts separately received by the Tenant for the sale of its Business (as opposed to consideration paid to Tenant for the Lease or Tenant's leasehold interest in the Premises), including, without limitation, goodwill, trade name, customer lists, trade fixtures, equipment, inventory, supplies, stock on hand and any other categories delineated on an allocation of the purchase price in the sale of Tenant's Business.

To invoke this advance-consent provision, Plaintiffs must establish three conditions as a matter of law: (1) assignment to a purchaser of substantially all of tenant's assets; (2) purchaser approved by the automotive franchisor; and (3) purchaser has provided a substitute guarantor meeting the specified qualifications. Plaintiffs have the burden of proof on each element. As discussed below, Plaintiffs have not met their initial burden on the third condition.

Interpretation of the Lease is governed by settled California rules. The court's goal is to give effect to the parties' mutual intent at the time of contracting. (Civ. Code, § 1636.) When a contract is reduced to writing, that intent "is to be ascertained from the writing alone, if possible." (Civ. Code, § 1639.) If the contract language is "clear and explicit, and does not involve an absurdity," the language governs. (Civ. Code, § 1638.) Words are given their "ordinary and popular sense" unless used in a technical sense or given a special meaning by usage. (Civ. Code, § 1644.) The whole of the contract is taken together so as to give effect to every part. (Civ. Code, § 1641.) California follows the objective theory of contracts: it is the objective intent expressed in the words of the contract, not the subjective intent of one party, that controls; a party's undisclosed intent or understanding is irrelevant. (*Founding Members of the Newport Beach Country Club v. Newport Beach Country Club, Inc.* (2003) 109 Cal.App.4th 944, 956.)

Section 12.1's fourth sentence is clear and explicit. Its plain terms condition the landlord's advance consent on three cumulative requirements, including that "the purchaser has provided a substitute guarantor" meeting one of two franchisor-approval qualifications. Under the ordinary meaning of "has provided," the purchaser must have made an affirmative, completed tender, not merely an offer to provide. (Civ. Code, § 1644.) And under the ordinary meaning of "substitute," the guarantor must be one who replaces the existing guarantor, not one who simply continues in that role. The clause reinforces this reading by pairing the substitute-guarantor requirement with release of the original guarantor (Allen Holzhauer), confirming that "substitute" contemplates a new guarantor stepping in for the person being released. Read as a whole (Civ. Code § 1641), the fourth sentence is a narrow, self-executing advance-consent provision that operates only when its three conditions are affirmatively satisfied on the face of the transaction.

Ultimately, Plaintiffs have not met their burden to establish they met the substitute-guarantor condition. The Lease states "the purchaser has provided a substitute guarantor." The verb "has provided" is completed-action language requiring actual delivery, not merely an offer, willingness, or future commitment. The provision does not say "will provide" or "is willing to provide." It requires that the purchaser has provided, past tense, completed act, a substitute guarantor at the time the assignment occurs.

The Lease Assignment and Assumption Agreement executed by BLTPS and PATH on August 12, 2024, does not identify any new substitute guarantor. The agreement states only that Bruce and Linda Titus "have agreed to continue to personally guaranty the Lease throughout the remainder of the initial term of the Lease, which will expire on October 31, 2028." The Tituses were already bound as guarantors of the Lease under the 2018 Continuing Guaranty, which by its terms runs "until the effective date of termination of the Lease." A guarantor who continues from a prior assignment is not a "substitute" guarantor "provided" by the purchaser within the meaning of the fourth sentence. The Assignment Agreement contemplates that PATH Auto Group Holdings Co. would execute a guaranty "concurrently," with a blank form attached as Exhibit A, but Plaintiffs offer no evidence that any such guaranty was actually executed or delivered to KAPA.

Even if Titus parties could be considered "substitute" guarantors, they do not satisfy the lease's qualification requirements. Section 12.1 requires a substitute guarantor "who is either the person that has been approved by the automotive franchisor as the franchisee or has been approved by the automotive franchisor as the guarantor of the franchisee." The Titus parties do not meet either alternative. BLTPS's Volkswagen dealer agreement terminated at closing when the franchise assets transferred to PATH, and Bruce Titus testified that BLTPS is not approved by Volkswagen

as the guarantor of PATH's obligations at the Cathedral City store. There is no evidence that the Titus parties have been approved by Volkswagen as guarantors of PATH as the franchisee. The condition requires franchisor approval tied to the new franchisee (PATH), not carried-over approval tied to the prior franchisee (BLTPS).

Plaintiffs' separate statement does not identify Phil Alalouf of PATH as having executed a guaranty of PATH's lease obligations to KAPA. In his deposition, Alalouf testified he cannot answer whether he ever signed anything stating he was a guarantor of PATH's obligations under the Lease. The record does not contain an executed guaranty from Alalouf PATH Auto Group Holdings Co., or any other person for the benefit of PATH. The blank form guaranty attached to the Assignment Agreement as Exhibit A was never executed or delivered to KAPA.

PATH Automotive, LLC is the tenant-assignee, not a guarantor. The condition requires "a substitute guarantor" separate from the tenant itself. PATH has not provided evidence that PATH Auto Group Holdings Co. or any other entity executed and delivered a guaranty to KAPA. The Assignment Agreement contemplates such a guaranty but does not establish that one was provided.

Plaintiffs argue that KAPA's refusal to consider proffered guarantees excuses performance under Civil Code section 1511(1). Section 1511(1) excuses want of performance when it is "prevented or delayed by the act of the creditor." (Civ. Code, § 1511(1).) That doctrine does not apply here for two related reasons. First, the fourth sentence requires that the purchaser "has provided" a substitute guarantor — a completed act — and an offer or willingness to provide is not the same as provision. (Civ. Code, § 1644.) Second, the fourth sentence is an optional, self-executing advance-consent path, not the only route to a valid assignment. If Plaintiffs cannot satisfy all three of its conditions, they remain free to seek KAPA's case-by-case consent under the general rule in the second sentence of Section 12.1, which prohibits unreasonable withholding. KAPA's alleged refusal to consider a proffered guarantor does not "prevent" satisfaction of a condition Plaintiffs never in fact completed.

Plaintiffs cannot establish as a matter of law that PATH "has provided a substitute guarantor" satisfying the franchisor-approval qualifications, Plaintiffs have not met their initial burden of proving all elements necessary to invoke the fourth sentence's advance consent. DENIED

Plaintiffs alternatively argue that even if KAPA's consent was required under the Lease, KAPA unreasonably withheld consent in violation of Section 12.1's prohibition on unreasonably withholding consent. The Court need not reach this issue given the failure of proof on the primary theory, but notes that material disputes of fact exist regarding the information provided by PATH, the completeness of that information, and the commercial reasonableness of KAPA's stated concerns regarding financial strength, ownership structure, and guaranties. Whether a lessor's refusal to consent is reasonable is ordinarily a question of fact. (*Kendall v. Ernest Pestana, Inc.* (1985) 40 Cal.3d 488, 501.) This alternative theory would not support summary judgment.

Summary Adjudication of Individual Issues

Plaintiffs alternatively seek summary adjudication of six separately noticed issues:

- Issue No. 1 (Breach of Contract – Plaintiffs' First Cause of Action)
- Issue No. 2 (Declaratory Relief – Plaintiffs' Second Cause of Action)
- Issue No. 3 (Breach of Contract – KAPA's First Cause of Action against BLTPS)
- Issue No. 4 (Demand on Guaranty – KAPA's Second Cause of Action against Tituses)
- Issue No. 5 (Ejectment – KAPA's Third Cause of Action against PATH)
- Issue No. 6 (Damages)

Issues 1 through 5 each depend on the same underlying theory: that Plaintiffs affirmatively satisfied all three conditions of the fourth sentence of Section 12.1, rendering the assignment effective without KAPA's separate consent. For the reasons stated above, Plaintiffs have not established the substitute-guarantor condition as a matter of law. DENIED

Issue 6 is independently defective. A "claim for damages" is a proper subject of summary adjudication under section 437c(f)(1) only where it is a claim for punitive damages as specified in Civil Code section 3294; the statute does not authorize summary adjudication of a generic contention that no compensatory damages can be proved. (C.C.P., § 437c(f)(1).) No section 437c(t) stipulation has been submitted. DENIED.

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CASE #	CASE NAME	HEARING NAME
CVPS2408394	DESERT HEALTHCARE DISTRICT VS ALL PERSONS INTERESTED IN THE MATTER HEREIN DESCRIBED LEASE PURCHASE TRANSACTION AND RELATED CONTRACTS AND OBLIGATIONS OF DESERT HEALTHCARE DISTRICT WITH RESPECT TO DESERT REGIONAL MEDICAL CENTER, INC.	EISENHOWER'S MOTION TO COMPEL THE CERTIFIED AND COMPLETE ADMINISTRATIVE RECORD AND SUPPLEMENTS AND AUGMENT THE RECORD

Tentative Ruling: Granted in part.

Counsel are ordered to appear on Monday, August 3, 2026 at 8:30 a.m. in Department PS2 to discuss scope of ruling.

Plaintiff Desert Healthcare District filed a Complaint for Validation on December 31, 2024 against all persons interested in the matter of a certain lease to purchase transaction and related contracts and obligations of Desert Healthcare District with respect to Desert Regional Medical Center. The Complaint seeks to validate the action taken by Plaintiff regarding the lease purchase agreement (LPA) and the actions of District's Board in approving a fairness opinion from an independent consultant and approving the LPA and ordering that a measure relating to approval of the LPA be placed on the ballot (Measure AA), which was approved by the voters by a margin of 72.34% .

The matter is currently set for a long cause court trial on September 4, 2026.

Eisenhower moves the court to compel Plaintiffs to provide a certified and complete copy of the administrative record. In addition, Eisenhower seeks to supplement and augment the administrative record. Eisenhower asserts that District was required to prepare the administrative record, but did not. Eisenhower also asserts that the record is demonstrably incomplete has its communications with the District regarding the LPA are missing from the record. In addition, Eisenhower asserts that statutorily required documents that are referenced in the record are missing from the record. Also missing are publicly available District board meeting materials as well non-public documents that District provably had before it and relied on when making its decision are missing from the record. Further, Eisenhower asserts that District is required to, but did not certify the record. Lastly, Eisenhower asserts that the court should augment the record with key extra-record evidence.